In response to the objections dated January 5, 2026.

Objection 1
Comments:
The indicated change for State Farm Fire and Casualty is +15.9% while the overall rate impact is -2.1%. Please explain why the selected impact is not in line with the direction of the indication. Additionally, please provide the selected impacts by coverage, tying to the -2.1% overall rate impact, relative to the indications by coverage that are shown on Exhibit 10.

Response: While the filed rate indication and underlying selections are supported by the data provided in the indicated rate change exhibits, it is not uncommon to select percentage rate changes that differ from the indications. While the indication is a key consideration when selecting a rate change, it is not the only consideration. Company operations, financial and competitive position as well as other economic conditions may influence the final recommendation. In this sense, the value of the rate indication is a point estimate within a range of potential reasonable rate adjustments. In addition, the selected overall percentage rate change is calculated from the selected rate change by coverage which can reflect different elements. These types of considerations are outlined in actuarial literature and are not unique to State Farm. Based on our analysis and discussions with senior leadership, the current market conditions are such that we are selecting less than the indicated rate need and the rates implemented are anticipated to be sufficient to cover all future costs during the time the rates will be in effect. We routinely review loss trends and underwriting experience and adjust rates based on the most recent information and factors influencing costs. This ensures we are responsive to changes whereby we make filings, as needed, that ensure premiums do not become inadequate nor excessive.

Please see the ID Actuarial Memorandum, page 2 for the selected impacts by coverage. Note that the impacts shown for each coverage are for Private Passenger vehicle types only, while the overall -2.1% rate impact includes additional miscellaneous vehicle types.

Objection 2
Comments:
The indicated change for State Farm Mutual Automobile is -2.6% while the overall rate impact is -9.7%. Please explain why the selected impact is not in line with the magnitude of the indication. Additionally, please provide the selected impacts by coverage, tying to the -.9.7% overall rate impact, relative to the indications by coverage that are shown on Exhibit 1.

Response: Please see the response to Objection 1 for the explanation behind the proposed overall rate impact.

Please see the ID Actuarial Memorandum, page 1 for the selected impacts by coverage. Note that the impacts shown for each coverage are for Private Passenger vehicles only, while the overall -9.7% rate impact includes additional miscellaneous vehicle types.

Objection 3
Comments:
Regarding State Farm Mutual Automobile, we are not able to reconcile the Projected Loss & LAE Ratio in Exhibit 2A for Column 1 for BI and PD with Exhibit 2B. Exhibit 2A shows the ratio as 84.5% and 85.7% respectively while 2B shows 36.8% and 42.5% respectively. MP, Comp, and Coll 2A and 2B reconcile. Please provide an explanation or revise the exhibits.

Response: With the introduction of the enhanced rating plan, BI and PD premiums will be split. Previously, BI and PD were packaged and therefore the premiums shown in Exhibit 2B were packaged BIPD premiums. We have updated Exhibit 2B to reflect split BI and PD premiums. Exhibits 2A and 2B now reconcile.

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Objection 4
Comments:
Regarding State Farm Mutual Automobile, please provide actuarial support for the Comprehensive Catastrophe Provision shown on Exhibit 7.

Response: Please see Exhibit 7B.

Objection 5
Comments:
Regarding State Farm Fire and Casualty, we are not able to reconcile the Projected Loss & LAE Ratio in Exhibit 11A for Column 1 for BI and PD with Exhibit 11B. Exhibit 2A shows the ratio as 90.2% and 99.0% respectively while 2B shows 37.6% and 52.4% respectively. MP, Comp, and Coll 2A and 2B reconcile. Please provide an explanation or revise the exhibits.

Response: With the introduction of the enhanced rating plan, BI and PD premiums will be split. Previously, BI and PD were packaged and therefore the premiums shown in Exhibit 11B were packaged BIPD premiums. We have updated Exhibit 11B to reflect split BI and PD premiums. Exhibits 11A and 11B now reconcile.

Objection 6
Comments:
Please provide the credibility standards that are underlying Column 2 in Exhibits 2A and 11A.

Response: The following credibility standards are used in Exhibits 2A and 11A:

Exhibit 2A
- Bodily Injury Liability – 7,250
- Property Damage Liability – 3,500
- Medical Payments – 4,000
- Comprehensive – 6,250
- Collision – 3,750

Exhibit 11A
- Bodily Injury Liability – 5,750
- Property Damage Liability – 3,250
- Medical Payments – 3,250
- Comprehensive – 6,250
- Collision – 3,750

Objection 7
Comments:
The Maximum % Changes are reported at 388.4% for State Farm Fire and Casualty and 847.9% for State Farm Mutual Automobile. If rates are stabilized at +5% to +25% for liability coverages, per the Premium Stabilization rule, it could take many years for policies to reach their true rates. Please detail how this filing adheres to the Department's Notice to Property & Casualty Insurers, January 01, 2022, Revised May 26, 2022, 8. Rate Capping/Stabilization, which states, "we consider any long-lasting stabilizing that effectively creates separate rate levels for new business and for renewal as establishing multiple rates for the same/similar risk and thus unfairly discriminatory."

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Response: As mentioned in our 10-20-2025 Objection Response, many of the high percentage vehicle changes are small dollar comprehensive only policies. This is due to the introduction of fixed expense constants to the rating plan. Expense constants are not subject to the rate stability rule, and therefore many of these policies have much smaller remaining change to reach their ultimate premiums after the first term. Additionally, please note that the maximum changes listed in the question are for first term stabilized premium. Please see the updated Exhibit 22 in our 10-20 Objection Response for the maximum change for uncapped ultimate premiums.

For example, consider a comprehensive coverage only policy in State Farm Mutual. Suppose the vehicle has a prior total premium of $5 and an ultimate total premium of $15. The vehicles first term stabilized total premium would be $11.69, moving the maximum 10% for first term stabilization in addition to the introduction of the fixed expense fee ($5*1.1 + $6.19 = $11.69). The ultimate change for the vehicle is 200%, but the first term change is 133.8% due to the $6.19 expense constant for SFM comprehensive coverage. The remaining difference between the stabilized and ultimate premiums after the first term is 28.3%.

Please refer to the attached confidential Stabilization Over Time exhibit for an illustration of the impact of premium stabilization over time on the entire book of business. After the sixth term, over 97% of both SFM and SFFC customers are within ±5% of their ultimate rates. The average dollar difference of policies not at their ultimate rates after the sixth renewal is $0.92 for State Farm Mutual and $2.16 for State Farm Fire and Casualty. Please note, this view assumes static rates over the next few years, which is unlikely. The actual ranges of change will vary as they incorporate additional future rate activity.

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